GMS WEEKLY

Your Source for Recycling News

October 21st, 2022
Volume 243, Issue 1053
Week 42

Highlights:

- **TW gathering.**
- **Topics discussed.**
- **Minimal activity.**
- **Prices subdued.**
- **Hoping for more.**
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QUOTE of the WEEK

"If the highest aim of a captain were to preserve his ship, he would keep it in port forever."

– Marcus Tullius Cicero

MARKET COMMENTARY

PROGNOSIS BLEAK!

The world finally gathered this week at the Tradewinds ship recycling conference in Dubai, for the first time in three years due to the onset of the pandemic.

The big topics of the day were discussed, including various green and ESG measures being introduced to secure the sustainable future of recycling of older seafaring assets.

Of course, there has been minimal activity to speak of in terms of sales, as we usually see one or two (market / private) deals being concluded and rates rising during the TW conference, but the event this year seemed to be an occasion for people to catch up, rather than conclude business, especially after the recent years fractured by Covid-19.

Sub-continent markets remain subdued and deprived of tonnage as freight markets continue to fly. Depreciating currencies remain the chief concern (as do fragile steel plate prices), with rates well below USD 600/LDT and likely to move further down.

Turkey too, remains in a depressed state with levels that remain suspended USD 250/MT below its recent spring peak, as its own currency and steel plate prices remain buried, along with the sentiments that too remain diminished.

While the recent buildup seemed to suggest a greater level of activity come Q4 2022, this remains far from reality at this time as there is surprisingly little demand, due to strained banking / L/C limits and disconnected / high asking prices from Owners, leaving most plots in the sub-continent stranded in idle.

The prognosis is therefore not good heading into the final months of the year, and all will be hoping for some increased positivity and ability to buy once the expected increase of tonnage starts to come in from next year.

For week 42 of 2022, GMS demo rankings / pricing for the week are as below.

Demo Rank	Location	Sentiment	Dry Bulk USD / LDT	Tankers USD / LDT	Containers USD / LDT
1	Bangladesh	Weak	570 / LDT*	580 / LDT*	590 / LDT*
2	Pakistan	Weak	560 / LDT	570 / LDT	580 / LDT
3	India	Weak	550 / LDT	560 / LDT	570 / LDT
4	Turkey	Weak	240 / LDT	250 / LDT	260 / LDT

**Small LDT*

BANGLADESH

DULL & DEPRIVED!

FSU sale.

The sale of one previously concluded FSU from a Cash Buyer's inventory registered at a decent USD 600/LDT basis a Chattogram delivery. However, the unit has been concluded to one of the few local Buyers who can open an L/C with their bank (even on larger units).

Demand and open Buyers remain otherwise dull and even for smaller LDT units, there is not the appetite one would come to expect from a market that has been deprived of meaningful tonnage for most of the last few quarters.

LC woes.

The currency, though marginally firmer this week, remains in a perilous state. Coupled with the ongoing L/C bank restrictions from government banks and local steel plate prices that dipped another USD 5/Ton this week, is resulting in very few sales locally - albeit from a minimal stock of available vessels, which now seem to be diverted elsewhere

NO MARKET SALES REPORTED

INDIA

DOLDRUMS!

Lowest placed.

As the lowest placed sub-continent destination, Alang has seen very few firm candidates to work on in recent times – including locally favoured specialist units, offshore assets and HKC green vessels.

Pakistan and Bangladesh have been able to offer significantly higher on the trickle of tonnage available, and it is therefore likely to be a slow end to the year for Alang Buyers, after a record low influx of tonnage heads to the beaches there – evident from the weekly port reports coming out of Alang.

Steel falls.

The Indian Rupee continues to create local tumult as it briefly breached Rs. 83 against the U.S. Dollar mid-week, only to settle at Rs. 82.60 – yet a record breaking (and worrying) level.

Local steel plate prices too haven't been too cooperative either, as volatility ensues, despite ending the week USD 5/LDT over the previous week, leaving the local market unwilling to compete.

NO MARKET SALES REPORTED

PAKISTAN

STILL SHAKEN!

Good gathering.

After an altogether quieter year that was full of tragedy for a beleaguered Pakistan, it was encouraging to see many Recyclers taking a break from the silence of their domestic market and make their way across to the Tradewinds Ship Recycling forum in Dubai this week.

As such, there were no market sales to a still Pakistani market (after catastrophic flooding and a currency collapse that is wavering once again), yet, there are signs that Gadani Buyers may be willing to step up and secure tonnage once again in the months ahead.

Starved.

Unfortunately, open and eligible candidates do remain starved from the market and it may take a further fall in freight rates going into next year before activity starts to pick up significantly again.

NO MARKET SALES REPORTED

TURKEY

UNCHANGED!

No change in the Turkish market since last week.

Lira remains weak.

The Lira continues to dance between TRY 18.5X – 18.6X, no change in steel plate prices that crashed nearly 3 weeks ago, no market tonnage being offered, and finally, no motivation from local Buyers to be competitive or even offer on any of the private vessels being reportedly offered into Aliaga.

The central Government has also lowered interest rates once again, hoping to revive an economy that is overall weaker.

Silent player.

The situation in the Black Sea has not helped market sentiments either with looming fears of nuclear war in the region and as such, Turkey remains a silent player in the industry.

NO MARKET SALES REPORTED

AMAZING FACTS

- *Steve Jobs, Steve Wozniak, and Ron Wayne started Apple Inc. on April Fools' Day. The three technology innovators signed the documents to form the Apple Computer Company on April 1, 1976. But the company was not fully incorporated until January 3, 1977. Thirty years later, the company was renamed Apple Inc. and is no joke. In 2018, Apple became the country's first trillion-dollar company.*
- *The inventor of the tricycle personally delivered two to Queen Victoria. In 1881, Queen Victoria was on a tour on the Isle of Wight when her horse and carriage could not keep up with a woman riding a tricycle. Intrigued by the bike, the queen proceeded to order two. She also asked that the inventor, James Starley, arrive with the delivery. Though you might associate tricycles with toddlers, Queen Victoria made them cool among the elite at the time.*
- *Your brain synapses shrink while you sleep. Researchers at the University of Wisconsin-Madison Center for Sleep and Consciousness studied mice to observe what happens to their brains while they sleep. Dr. Chiara Cirelli and Dr. Giulio Tononi found an 18 percent decrease in the size of synapses after a few hours of sleep. Don't worry, though—this nighttime brain shrinkage actually helps your cognitive abilities.*

IMPORTANT DATES

INDIA	
BANK HOLIDAYS	**BEACHING TIDES**
October 24 – October 27 – Diwali November 08 – Guru Nanak Jayanthi	October 25 – October 31 November 06 – November 13 November 22 – November 29

BANGLADESH	
BANK HOLIDAYS	**BEACHING TIDES**
No holidays in November	October 24 – October 27 November 06 – November 09 November 22 – November 25

IMPORTANT BANK HOLIDAYS		
CHINA	**PAKISTAN**	**TURKEY**
No holidays in November	October 24 – Founding Day **No holidays in November**	October 28 – 29 – Republic Day **No holidays in November**

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ALANG - Port Position as of October 21, 2022

No.	VESSEL NAME	LDT	TYPE	STATUS
1	Deed 1	1,986	General Cargo	Arrived September 29
2	Dolphin	3,567	Fishing Vessel	Arrived October 21
3	*Louisiana (Under Tow)*	*16,751*	*MODU*	*Beached October 16*
4	*Jaguar (Under Tow)*	*26,545*	*Drill Rig*	*Beached October 16*
Total Tonnage		**48,848**		

CHATTOGRAM - Port Position as of October 21, 2022

No.	VESSEL NAME	LDT	TYPE	STATUS
1	**Ariana**	**15,672**	**Tanker**	**Arrived June 22**
8	Daiyu	623	General Cargo	Arrived October 15
3	**Gala**	**16,885**	**Tanker**	**Arrived February 28**
9	Java Illithyia	2,257	Survey Vessel	Arrived October 15
5	*Minister*	*836*	*LPG Tanker*	*Beached October 15*
7	Prosperity	5,822	Bulk Carrier	Arrived October 19
6	Shiny	22,009	Bulk Carrier	Arrived October 19
10	*Uei Maru*	*757*	*General Cargo*	*Beached October 16*
12	**Winton T128**	**975**	**Bulk Carrier**	**Arrived June 23**
Total Tonnage		**65,835**		

GADANI - Port Position as of October 21, 2022

No.	VESSEL NAME	LDT	TYPE	STATUS
1	Ocean Younker	625	Tug	Arrived October 18
2	Medrock II	1,550	Barge	Arrived October 18
3	Linda Star	6,475	Bulk Carrier	Arrived October 19
Total Tonnage		**8,650**		

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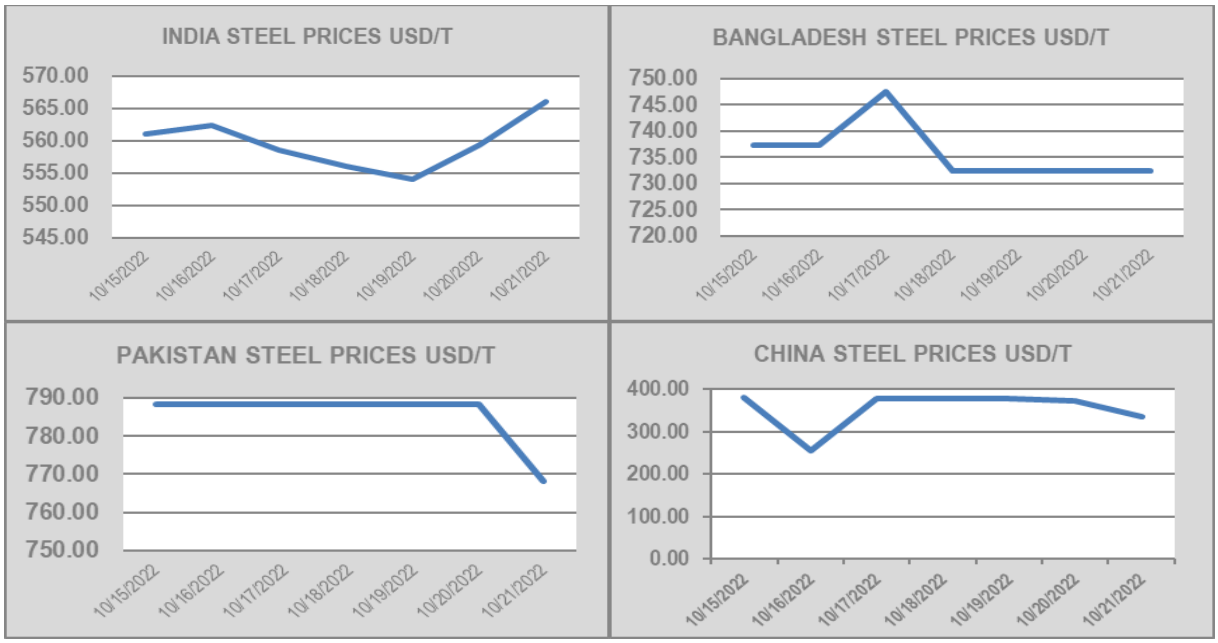
Steel Plate Prices

DATE	INDIA STEEL PRICES USD/T	INDIA STEEL PRICES	PAKISTAN STEEL PRICES USD/T	PAKISTAN STEEL PRICES	BANGLADESH STEEL PRICES USD/T	BANGLADESH STEEL PRICES	CHINA STEEL PRICES USD/T
10/15/2022	561.02	46,200.00	788.29	175,000.00	737.37	73,000.00	380.51
10/16/2022	562.44	46,300.00	788.29	175,000.00	737.37	73,000.00	256.69
10/17/2022	558.59	46,000.00	788.29	175,000.00	747.47	74,000.00	379.07
10/18/2022	556.10	45,800.00	788.29	175,000.00	732.32	72,500.00	378.41
10/19/2022	554.08	46,000.00	788.29	175,000.00	732.32	72,500.00	378.41
10/20/2022	559.45	46,300.00	788.29	175,000.00	732.32	72,500.00	373.66
10/21/2022	566.04	46,800.00	768.19	170,000.00	732.32	72,500.00	336.65



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